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The Political Cost of UCT Schemes

The political cost of UCT schemes

Since 2020, Unconditional Cash Transfer (UCT) schemes have become an important electoral strategy in India, particularly to attract women voters. Some examples of such schemes include the Kalaingar Magalir Urimai Thittam in Tamil Nadu, the Lakshmi Bhandar in West Bengal, and Gruha Lakshmi Yojana in Karnataka. Yet, despite increasing the amount of cash before the 2026 elections, some governments which implemented these schemes were defeated. One possible explanation for the loss could be the political cost associated with UCTs.

UCT schemes are well-intentioned as they provide financial support to women. They partially advance SDG (Sustainable Development Goal) 5.4, which calls for a recognition of women's unpaid domestic and care work. According to the Ministry of Finance's latest Economic Survey, States are expected to spend about \$18 billion on UCTs in 2025-26, much of it targeted towards women.

Critics, however, argue that these schemes function as electoral "freebies." Their financing often requires expenditure switching or larger fiscal deficits, and reduces resources available for productive investments, including employment generation and self-employment programmes. Moreover, once households become dependent on UCTs, withdrawing them is difficult as political parties encourage competitive welfarism.

Targeting challenges

A fundamental challenge in targeted UCT programmes is beneficiary identification. Since governments cannot



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directly observe incomes for most workers in the informal sector, they rely on proxy indicators such as land ownership, electricity consumption, or household assets. This inevitably produces both inclusion errors (benefits reaching ineligible households) and exclusion errors (eligible households being left out). These targeting errors, whether real or perceived, can impose significant political costs.

The Kalaingar Magalir Urimai Thittam scheme illustrates this challenge. Although the ruling party at the time promised ₹1,000 per month to all women-headed households before the 2021 election, fiscal constraints led the government to restrict eligibility based on income, land ownership, and other criteria when the scheme was launched in September 2023. Initially, about 1.13 crore women were covered. Following widespread complaints from women who believed they met the eligibility criteria, another 16.94 lakh beneficiaries were added in December 2025. The scheme cost ₹13,807 crore in 2025-26.

Despite the expansion, dissatisfaction persisted. Many women who considered themselves unfairly excluded reportedly became even more aggrieved when eligible beneficiaries received an advance payment of three months' entitlement along with a special summer relief payment. Although the precise electoral impact cannot be measured, even modest shifts in voter preferences can influence outcomes in closely contested constituencies.

These experiences highlight an important

feature of targeted welfare programmes. Political costs arise not only from actual errors but also from perceived ones. Individuals who fail to satisfy official eligibility criteria may nevertheless believe that they have been treated unfairly. Likewise, households that legally qualify may be perceived as undeserving because they appear relatively affluent. Such perceived targeting errors can be as politically consequential as actual administrative mistakes.

This reveals an inherent tension between economics and politics. Economics favours targeted programmes so that scarce public resources reach those most in need. Politics, however, rewards broader inclusion because voters evaluate governments not only by the benefits they receive but also by those they believe were unfairly denied. Consequently, targeted UCT programmes carry an unavoidable political cost.

Conditional cash transfers and other incentive-based welfare programmes offer a more sustainable alternative. Linking benefits to socially desirable outcomes produces broader developmental gains. Tamil Nadu's Midday Meal Scheme illustrates this principle. Since participation depends on school enrolment, self-selection reduces grievances.

The broader lesson is that welfare programmes tied to education or other desirable behaviours can achieve developmental objectives with lower political costs. In contrast, UCTs remain inherently vulnerable to inclusion, exclusion, and perceived targeting errors.

Linking benefits to socially desirable outcomes produces broader developmental gains

Concept

- **What are UCTs:** Unconditional Cash Transfer (UCT) schemes have become an important electoral strategy in India since 2020, particularly to attract women voters e.g. Kalaingar Magalir Urimai Thittam (Tamil Nadu), Lakshmir Bhandar (West Bengal), Gruha Lakshmi Yojana (Karnataka).
- **The puzzle:** Despite government's increasing UCT amounts before the 2026 elections, some that implemented these schemes still lost pointing to a possible “political cost” of UCTs.
- **Fiscal scale:** The Economic Survey estimates states will spend about \$18 billion on UCTs in 2025-26, much of it targeted towards women; this partially advances SDG 5.4 on recognising unpaid domestic and care work.
- **Targeting challenges:** Governments cannot directly observe informal-sector incomes, so they rely on proxies (land ownership, electricity use, assets) producing inclusion errors (ineligible households benefit) and exclusion errors (eligible households left out).
- **Case in point:** Tamil Nadu's scheme promised ₹1,000/month before the 2021 election but launched in Sept 2023 with restricted eligibility (1.13 crore covered); after complaints, 16.94 lakh more beneficiaries were added in Dec 2025, at a cost of ₹13,807 crore in 2025-26.
- **Real vs perceived errors:** Political costs arise from both actual and perceived targeting errors excluded people feel unfairly denied, while genuinely eligible households are seen as undeserving if they appear relatively affluent.
- **Economics vs politics:** Economics favours targeted programmes to reach the most needy; politics rewards broader inclusion, since voters judge governments by who they believe was unfairly denied, not just who received benefits.
- **A sustainable alternative:** Conditional Cash Transfers (CCTs) linked to socially desirable outcomes e.g. Tamil Nadu's Midday Meal Scheme tied to school enrolment achieve developmental goals with lower political cost through self-selection.

Concept

What Does the Shift from 'Women's Welfare' to 'Women-Led Development'

From Beneficiaries to Leaders:

Welfare Approach: Women are treated primarily as passive recipients of government aid. The state identifies them as a vulnerable group needing subsidies, protection, and relief just to meet basic survival needs.

Development Approach: Women are recognized as primary agents of change. The focus shifts to giving them the tools such as capital, property ownership, and leadership training to drive their own success and lift their communities alongside them.

From Subsistence to Wealth Creation:

Welfare Approach: Economic interventions are limited to providing basic rations, conditional cash transfers, or low-wage manual labor to keep families afloat.

Development Approach: Women are empowered to become wealth creators and job providers.

This is seen in the push for women-led entrepreneurship, the scaling of Self-Help Groups (SHGs) into formal businesses, and providing collateral-free business loans (like Mudra or Stand-Up India) so women can participate in the formal economy and emerging tech sectors.

Concept

Governance and Policy:

Welfare Approach: Policies are made for women by predominantly male legislative and administrative bodies. Women's political participation is largely limited to casting a vote.

Development Approach: Women are placed at the center of policymaking and governance through systemic reforms such as 33% reservation in the Lok Sabha and State Legislative Assemblies under the 106th Constitutional Amendment Act, 2023 (Nari Shakti Vandan Adhiniyam), and not less than one-third reservation in Panchayats and Municipalities under Articles 243D and 243T of the Constitution.

Rajghat Artefacts: A 1950s Excavation Sheds New Light

Rajghat artefacts: A 1950s excavation sheds new light on Varanasi's ancient past

Adrija Roychowdhury
New Delhi, September 6

THE BANARAS Hindu University (BHU) recently examined 22 boxes stored with it for around 70 years, containing more than 10,000 artefacts, including painted black pottery believed to be 3,000 years old. The artefacts were excavated from Rajghat, one of the oldest known settlements in the Varanasi region, between 1957 and 1969.

Earlier in August, experts had opened a box containing a human skeleton recovered from the same site.

Rajghat's significance

Rajghat today refers to a neighbourhood located in eastern Varanasi. But the Rajghat archaeological site refers to the ancient settlement located on the north-eastern outskirts of the city, near the confluence of the rivers Ganga and Varana.

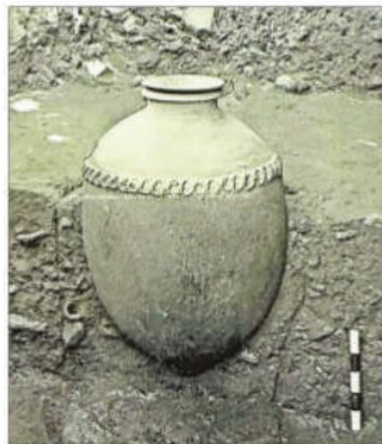
Archaeologist and former professor of archaeology at BHU, Vidula Jaiswal, explained that Rajghat is identified as the

capital of the Kashi Janapada. Janapadas were territorial kingdoms or political units in ancient India, particularly during the later Vedic period. Some of these janapadas grew into larger, more powerful kingdoms known as mahajanapadas by the 6th century BCE. Early Buddhist and Jain texts mention Kashi as one of 16 mahajanapadas in the Indo-Gangetic plain.

The region of Kashi, more popularly known as Varanasi, is dotted with several ancient settlements. A number of them have been excavated in the last few decades, which includes Aktha, Ramnagar, Sarnath and Rajghat. Jaiswal, who has led excavations at eight sites in the region, concluded that while Sarnath emerged as a pilgrimage site, Rajghat developed as the main urban centre.

Excavations at Rajghat

The settlement at Rajghat first came to archaeological attention in 1940, when a railway contractor reported finding archaeological remains while excavating earth for



A storage jar from the Gupta period. BHU

the extension and remodelling of Kashi Railway Station. The archaeologist Krishna Deva then took up trial excavation of the site on behalf of the Archaeological Survey of

India (ASI) in October-November of the year.

Consequently, excavations were carried out at three mounds at Rajghat in 1957 by A K Narain and his colleagues from BHU's Department of Ancient Indian History, Culture and Archaeology. Conducted in four phases over 12 years, the excavations unearthed a large number of significant artefacts. The lowest, and therefore oldest, layer of the settlement yielded pre-Northern Black Polished Ware (pre-NBPW), a type of pottery associated with an earlier phase of the Iron Age.

Based on this evidence, the origins of the settlement at Rajghat were dated to around 800 BCE.

Several years later, in the early 2000s, Jaiswal and archaeologist B R Mani re-excavated Rajghat to verify the dating of its oldest layer. "We just dug the lower levels of the site, starting from the Kushana period (1st century BCE to 3rd century CE), and kept going further down," Jaiswal said.

Scientific analysis of the artefacts recovered from these layers subsequently

confirmed the date of the settlement's oldest layer as around 800 BCE.

Among the artefacts recovered from the site are hundreds of seals and sealings. Professor Prasad Ahirwar, head of the department at BHU, said that the seals are the most important artefacts from Rajghat. "Many of them carry Greek inscriptions. Several of them carry names of the administrative units and their officials," he said. That apart, ivory and iron objects, punch-marked coins, and terracotta figurines have also been found.

The significance of these finds, said Ahirwar, is in tracing the development of human civilisation in the subcontinent.

Centenary celebrations

The recent documentation of the Rajghat artefacts, said Ahirwar, is part of the centenary celebrations of his department at BHU. The idea was to preserve all the past work that the department has done over the last 100 years, and lay them out in the public domain for future generations

of researchers. "There are also plans for developing a museum in future," Ahirwar said.

The documentation, which started from January this year, has already recorded about 4,000 artefacts. Ahirwar believes that there are close to 10,000 objects from Rajghat alone.

He also pointed out that the Rajghat excavation reports are already in the public domain and the artefacts have been available to researchers all these years. Some researchers have also studied the material. However, this is the first concerted and organised effort to document all the findings.

The human skeleton is the only artefact that has been opened for the first time. "When Professor Narain excavated it in the 1960s, we did not have the technology to analyse human remains," said Ahirwar. With advances in techniques such as DNA sampling and analysis, he believes the skeleton could now yield more information about the age, ancestry and lifestyle of the people who lived in the region in antiquity.

Concept

Location: Rajghat lies in northeastern Varanasi, near the confluence of the Ganga and Varuna rivers.

Historical Identity: Archaeologists identify it with the ancient settlement associated with the Kashi Janapada.

Urban Role: Unlike Sarnath, which developed primarily as a pilgrimage centre, Rajghat emerged as the main urban centre of ancient Kashi.

Diabetes Care Must Widen Focus, Adapt to Risks

Diabetes care must widen focus, adapt to risks

TYPE 2 diabetes is routinely treated as a blood-sugar disease, managed through monitoring glucose, weight, blood pressure and cholesterol. A new study published in *PLOS Medicine* suggests that this approach misses an important aspect: The disease does not follow quite the same path in men and women. Researchers followed nearly 30,000 people diagnosed with Type 2 diabetes in England between 2010 and 2020 and found that men were more likely to develop cardiovascular disease and end-stage kidney disease, and that they generally reached such complications earlier. Women, meanwhile, were likelier to develop anxiety, depression and other mental-health conditions. Hypertension was the most common complication for both sexes and across all age groups. While part of the gap in mental-health diagnoses could reflect differences in how readily men and women seek care, the study exposes the limits of treating a varied disease with a standard template.

For India, which carries one of the world's heaviest diabetes burdens — more than 101 million Indians live with diabetes and a further 136 million with prediabetes — this has strong implications. A 2026 meta-analysis of Indian studies, published in *Diabetology and Metabolic Syndrome*, found that 38 per cent people with Type 2 diabetes show signs of depression. Another pooled analysis in the *Journal of Diabetes and Metabolic Disorders* published earlier this year estimates those affected by anxiety at roughly three in 10. These suggest that a large number of diabetes patients in the country are carrying an unaddressed mental burden alongside a physical one.

These findings make a strong case for broadening diabetes care beyond its traditional focus on physical risk factors. Treatment should pay closer attention to individual patients, irrespective of their sex, recognising that age, family history, lifestyle, duration of diabetes and access to healthcare have critical impact on outcomes. Primary-care doctors and diabetes clinics should be equipped to recognise mental-health needs and conduct simple screening for anxiety and depression, referring to specialists when necessary. At the same time, greater attention should be paid to regular cardiovascular and kidney assessment in men, without assuming that women are protected from these complications or that men are immune to psychological distress. As the country's diabetes burden continues to grow, treating the condition as something that affects the mind as well as the body could mark a meaningful shift towards more effective care.

Concept

A Lancet Global Health study based on the Longitudinal Aging Study in India (LASI) found that at least one in five Indians aged 45 and above had diabetes in 2019.

Around 40% of people with diabetes were unaware they had the disease, revealing gaps in diagnosis and awareness.

Diabetes: It is a chronic non-communicable disease where the pancreas stops producing insulin or the body can't use it properly. Insulin is a hormone that controls blood sugar, when insulin doesn't work properly, blood sugar rises, causing hyperglycaemia.

Types of Diabetes

Type 1: Autoimmune destruction of insulin-producing cells, requiring daily insulin; mostly affects children and young adults.

Type 2: Body resists insulin or doesn't produce enough; linked to overweight, inactivity, and genetics; accounts for over 95% of diabetes cases; can be prevented with lifestyle changes.

Note: Type 5 diabetes is a newly recognized form affecting lean teens and young adults with a body-mass index (BMI) below 18.5 kg/m².

Unlike Type 1 (autoimmune) or Type 2 (insulin resistance), Type 5 is caused by malnutrition damaging pancreatic beta cells, leading to insulin deficiency.

Thank You,